

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: March 26, 2025

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

**MEMORANDUM ORDER ON MOTION FOR PROTECTIVE ORDER, CEASE AND DESIST REMEDY,
AND MOTIONS TO COMPEL**

On March 25, 2025, the undersigned held a video conference to discuss Respondent's March 20, 2025 Motion for Protective Order ("Motion for PO"), and to a more limited extent, both parties' outstanding motions to compel. Respondent filed the Motion for PO only a week before the scheduled deposition for which protection is sought. Because some of the issues raised in the Motion for PO are also issues affecting the motions to compel, the undersigned issued an Order Setting Status Conference on Discovery Motions, which also directed Complainant to file a short response to the Motion for PO addressing the relevance of 5 items, no later than March 24, 2025. Complainant filed its response to the Motion for PO as ordered, and the video conference convened on March 25, 2025. The video conference was recorded and transcribed, and both parties requested and received a transcription of the recording on March 25, 2025.

The issues discussed at the conference included the relevance of events or documentation prior to May 2021; whether a cease and desist order is an available remedy when Respondent has not performed NVOCC services for Complainant since 2022; the relevance of contracts, negotiations, and amounts paid to Respondent's service providers and subcontractors, including motor carriers and ocean carriers; and the relevance of the revenue Respondent received from detention and demurrage charges assessed on imported containers.

Based on the arguments of the parties presented at the status conference and in their respective motions and responses, Respondent is **ORDERED** to provide the communications between it and contractors such as motor carriers and railroads, as well as marine terminal operators and ocean carriers, regarding the movement of Peloton containers/shipments for which invoices issued beginning in May 2021. It is **FURTHER ORDERED** that Respondent state in writing whether it has or had any policies or procedures in effect from January 2021 to December 31, 2022, relating to the assessment of detention and demurrage charges, or free-time for containers and/or chassis, including whether extensions of free-time would be provided under certain circumstances, other than its Rules Tariff. Respondent must also identify the applicable sections of its Rules Tariff that address detention, demurrage, provision of chassis, free-time, and

provisions for extending free-time or obtaining a waiver of detention or demurrage charges, if any.

It is **FURTHER ORDERED** that Respondent's corporate designee for the deposition scheduled on March 27, 2025, is not required to testify regarding: the negotiation of third-party contracts or agreements relating to the movement or handling of Peloton containers, nor produce such third-party contracts, subcontracts, or agreements to Complainant; testify regarding any events, communications, or movement of Peloton's containers that occurred prior to May 2021, with the exception of communications and logistics of shipments occurring prior to May 2021 that were not invoiced until May 2021; testify regarding Respondent's electronically stored information (ESI) systems; testify regarding Respondent's revenue received in detention and demurrage charges related to import of containers to the U.S., although the deponent should be prepared to testify generally regarding trends of such charges it assessed from January 2021 (upward or downward from the previous year), through December 2022, and factors Respondent attributes to impacting such trend(s).

Complainant is **ORDERED** to provide a supplemental response to Respondent's interrogatories with references to Bates numbers for documents responsive to the interrogatories (referred to as "Confidential Peloton Production Log with Bates" in Complainant's January 10, 2025, filing), and it is **FURTHER ORDERED** that Complainant's Motion for Confidential Treatment of the Confidential Peloton Production Log with Bates numbers be **DENIED** without prejudice. The motion for confidentiality fails to "identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.141(j)(1)(vii)." 46 C.F.R. § 502.5(b).¹

It is **FURTHER ORDERED** that by 5 pm March 28, 2025, Complainant notify the undersigned and Respondent if it intends to pursue a cease and desist order. If Complainant chooses to seek such a remedy, it is **FURTHER ORDERED** that the parties must file briefs supporting their positions by April 4, 2025, citing case authority for whether such a remedy is available when a regulated relationship no longer exists between parties. The briefs must not exceed ten pages.

It is **FURTHER ORDERED** that the parties file a Joint Status Report ("JSR") by April 4, 2025, stating whether any of the items sought through their motions to compel have been resolved, are withdrawn, or are modified based on the March 25, 2025 conference, and based on the rulings above, which also apply to items identified in the respective motions to compel.

Any future discovery motions that are not jointly made must be filed sufficiently ahead of the deadline to allow the opposing party seven days to respond to the motion pursuant to Commission Rule 71(b).



Linda S. Harris Crovella
Administrative Law Judge

¹ Complainant's motion for confidentiality states only that its response "contains, and references confidential information related to Peloton." Complainant Peloton Interactive, Inc.'s Motion for Confidential Treatment at 1. The exhibit is not currently available to the public pending a renewed motion providing good cause.